- Don’t incur joint debt with others who have questionable financial habits.

The ten-year period following the filing of bankruptcy may be difficult, as the bankruptcy follows you around whenever you apply for credit or even sometimes when you apply for a job. Before you resort to bankruptcy, there may be things you can do to improve your situation. If your debt isn’t totally overwhelming, you may be able to cut back on nonessentials and find the money to apply to debt. You may even want to sell your car or house and buy a less expensive one. If you haven’t taken advantage of the latest low mortgage rates, refinancing your mortgage (again) may net you a few hundred dollars a month that you could put toward your debt. As a last resort, you could apply for a hardship withdrawal from your 401(k) plan if your plan allows them.

Consulting a Credit Counselor

Before you take a step as drastic as filing for bankruptcy, consider consulting with a reputable credit counselor. Myvesta (formerly known as Debt Counselors of America) and the National Foundation for Consumer Credit are the best known of these groups. Myvesta (*www.myvesta.org*) assists people over the Internet and by phone, while the NFCC (*www.nfcc.org*) has a national network of 1,450 offices, many of them called Consumer Credit Counseling Services. They provide counseling in person, as well as electronically. You don’t have to be in dire straits to use these services. If you need help getting your financial affairs in order or setting financial priorities, give them a call.

These services are free or very low cost, but an important part of the plan is your agreement not to apply for any new credit or incur any additional debt while you’re in the program.